

THE WALL STREET JOURNAL.

What's News

Business & Finance

◆ **Powell framed** the Justice Department's opening of a criminal probe into him as a direct challenge to the Fed's ability to operate free of political control. **A1, A4**

◆ **Former Fed and Treasury** officials rushed to defend Powell and the Fed's independence, calling the probe unprecedented and its intent an affront to American principles. **B1**

◆ **U.S. stocks wavered** in early trading but recovered to lift both the S&P 500 and Dow by 0.2% to records and the Nasdaq by 0.3%. **B1, B9**

◆ **Japan's Nikkei** surged to a record intraday high on expectations of a snap election. **B10**

◆ **U.S. banks are entering** the new year on solid footing after a strong 2025, and analysts say that momentum should continue. **B10**

◆ **Meta Platforms undertook** an initiative led by top executives to secure the enormous amounts of computing power required by its AI models. **B1**

◆ **Shake Shack said** inclement weather in some markets hurt sales during the recent quarter, resulting in lower than expected revenue. **B2**

◆ **Abercrombie & Fitch** and Urban Outfitters continued to record strong sales despite weak consumer sentiment, though the retailers missed analysts' estimates. **B2**

◆ **Airbus met** an annual plane-delivery goal that the European maker recently lowered due to a quality issue with hundreds of A320 jets. **B3**

◆ **Mercedes-Benz car sales** fell 9% to 1.8 million vehicles in 2025 amid a challenging global market, as sales dropped in the U.S. and China. **B3**

Worldwide

◆ **Trump has complained** to aides repeatedly in recent weeks about Attorney General Pam Bondi, describing her as weak and an ineffective enforcer of his agenda. **A1**

◆ **Sen. Mark Kelly sued** Defense Secretary Pete Hegseth, saying the Pentagon chief's move to formally censure and demote him for participating in a video calling on troops to disobey illegal orders violates the Constitution. **A5**

◆ **Minnesota sued** U.S. immigration officials, seeking to end what the state called an unlawful surge of federal agents within its borders. **A3**

◆ **TSMC, the world's** largest fabricator of advanced artificial-intelligence chips, is planning a significant expansion in Arizona as part of a potential trade agreement between the U.S. and Taiwan. **A3**

◆ **Prominent advocates** for overhauls in Iran are supporting a crackdown on anti-government protesters as the regime closes ranks in the face of one of the biggest challenges to its power. **A7**

◆ **U.S. military and** diplomatic officials said Trump's rationale for asserting a claim to Greenland defies decades of policy and undermines American strategic goals. **A8**

◆ **UnitedHealth employed** aggressive tactics to collect payment-boosting diagnoses for its Medicare Advantage members, a Senate panel investigating the company's practices said. **A3**

◆ **Mexican President** Claudia Sheinbaum rejected an offer from Trump to use the U.S. military against the drug cartels operating in her country. **A6**

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Fed Chief Hits Back at Trump

Powell avoided, for years, taking on the president directly. That is now over.

By NICK TIMIRAOS

For years, Federal Reserve Chair Jerome Powell has responded to President Trump's broadsides in ways that generally avoided escalation. That changed on Sunday night. In an extraordinary two-minute video message, Powell accused the administration of

using the threat of criminal prosecution to pressure the Fed into lowering rates. He framed the Justice Department investigation as nothing less than a head-on challenge to the Fed's ability to operate free of political control. The subpoenas arrived late Friday. Powell, a lawyer by training, spent the weekend huddled with advisers, weighing how to respond. Powell made clear by releasing the video statement that he wasn't going to let this play out in the shadows. A criminal investigation of

a sitting chair is without precedent. And Powell's message was, too. It was wrapped in a directness that he had spent years avoiding. Powell often chooses his words carefully, and Sunday's unusually stern delivery lacked the diplomatic off-ramp and studied neutrality of his past comments about the White House. "The threat of criminal charges is a consequence of the Federal Reserve setting interest rates based on our best assessment of what will serve the public, rather than following the preferences of the

president," Powell said. By going public, Powell was making sure that pressure applied in private couldn't stay private. The decision to disclose the investigation appeared to reflect a belief that the public should know what was unfolding: The threat of the prosecution of a sitting Fed chair would be material information for investors or anyone else trying to

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◆ **GOP senators criticize probe, warn of blowback..... A4**

◆ **DOJ investigation sparks outcry on Wall Street..... B1**



U.S. is pursuing a strategy to work with the Venezuelan regime; students walk past Caracas mural of late President Hugo Chávez.

U.S. Tries Fresh Tack on Regime Change

By DAVID LUHNOW

In the aftermath of the U.S. raid to seize Venezuelan strongman Nicolás Maduro, Washington is trying a new approach to regime change: Keep the regime—and try to change its behavior. Having removed Maduro from power, the Trump administration has kept the rest of the dictatorship's hard-liners in place, including top officials wanted by the U.S. for drug trafficking and other crimes. It also has gone out of its way to

play down the importance of the Venezuelan opposition. The goal, administration officials said, is to force Venezuela's leaders in a more U.S.-friendly direction without risking the instability that comes with removing an autocratic government that has been in power for 27 years. Ultimately, it seeks to avoid U.S. boots on the ground in the kind of open-ended occupation that troubled U.S. efforts in Iraq and Afghanistan and proved unpopular with the public. "This is not regime change

as traditionally conceived. It is regime management—an attempt to reshape behavior without collapsing the system that produces it," said Christopher Hernandez Roy, an analyst at the Center for Strategic and International Studies in Washington, D.C. who specializes in Latin America. The idea, he said, is to manage Venezuela rather than liberate it. It is far too early to tell if the strategy will pay off. But its initial success means it could become a template for

handling other regimes such as the one in Iran, where the Trump administration is considering strikes against the theocratic government amid a crackdown on protests. Cuba's ossified communist regime could be another target, some analysts said.

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◆ **Mexico won't let U.S. forces take on cartels.... A6**

◆ **Venezuela's Machado to visit White House..... A6**

◆ **U.S. weighs Iran's diplomatic overture..... A7**

Middle Class Gets Priced Out Of Florida Retirement

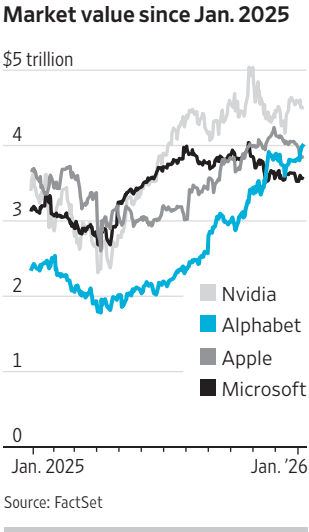
By ARIAN CAMPO-FLORES AND PAUL OVERBERG

SARASOTA, Fla.—Michele Butler and Wells Chapin moved to the west coast of Florida from Michigan in 2023 in anticipation of her plan to exit the restaurant business and join her partner in retirement. They bought a \$950,000 home at a new resort-style development in Lakewood Ranch, just outside Sarasota, that draws many new, well-heeled retirees. Butler, 70 years old, and Chapin, 82, golf at the 18-hole course, ride bikes on winding trails and enjoy sunsets on their lanai. The following year, Jim and Nina Cope headed in the opposite direction, selling their mobile home in a retirement community in Avon Park, Fla., for \$59,000 after repeated rent hikes for the lot. The couple, who are in their mid-80s, bought a home for \$40,000 in Haleyville, Ala., where their living expenses are more manageable with the income they get from Social Security and his Navy retirement benefits. The experiences of both couples reflect a new reality

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Alphabet Joins \$4 Trillion Club

Google parent Alphabet is latest tech company to reach \$4 trillion stock value. **B1**



Washington's New Lobbyists: Paid Online Influencers

Corporate and foreign interests seek to push their causes with pro-Trump social-media stars, who face few rules

Last summer, Donald Trump's 28-year-old former campaign aide Alex Bruesewitz had some new advice for the president: reclassify marijuana as a less dangerous drug. "Nearly 70% of Republican voters support Trump on this. No brainer!" he said to more than 640,000 followers on X.

By Maggie Severns, Natalie Andrews, Josh Dawsey and Eliza Collins

What Bruesewitz left out of the post: A political-action committee funded by legal marijuana's biggest players had just paid him \$300,000.

Trump's return to the White House has

transformed the federal government and upended the business of lobbying, creating a class of Washington operatives that blur the lines between consulting, advocacy and journalism. Corporate and foreign interests that used to rely primarily on paid lobbyists to pitch their case to lawmakers and administration officials are instead pouring money into trying to get their cause promoted by a group of young, conservative influencers known to be close to Trump's staff.

A camera-ready pack of Gen-Z social-media natives—many of whom were too young to vote when Trump announced his first run for office—are reaping the rewards. They don't work

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Their Roomba Was Like Family. Then It Lost Its Way.

Robotic vacuums became better known for mishaps than clean floors; Dirt Reynolds

By JOHN KEILMAN

Kayla Mederos adored her Roomba. She named it "WALL-E," after Pixar's trash-smashing space robot, and set it loose to collect the fur her yellow Labrador shed inside her Northern California home. When WALL-E broke down,

she returned it for a new one, only to see the same problem arise again and again. Finally, her brand loyalty exhausted, she switched to a robotic vacuum made by the Chinese company Roborock. It came with the pre-installed name of "Rocky," which was kind of a

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INSIDE



SPORTS

It was the craziest NFL playoff weekend ever—and we have the numbers to prove it. **A16**



BUSINESS & FINANCE

Paramount plans proxy fight to push its hostile bid to acquire Warner. **B1**